

Goodman suggests. “The PEG ratio is simply the (P/E Ratio)/(Annual EPS Growth Rate). If earnings grow 20%, for example, then a P/E of 20 is justified. Anything too far above 1x could be too expensive.”

IBKR’s brokerage pretax earning growth rates for 2010–2014 were 19 percent, 35 percent, -8 percent, 33 percent and 29 percent. IBKR’s earnings grew 29 percent in 2014, yet the stock traded at 26 times earnings, giving us a PEG under one — unusual for such a high-quality business growing quickly in today’s market. The fact that we can get it under one is a major plus.

Again, this is an example of the kind of thinking you should work through. Just remember that the higher the multiple you pay, the higher the earnings growth rate needs to be.

To repeat once more: lower multiples preferred.

#2 and #3 Together Get What I Call the Twin Engines of a 100-Bagger

When you get lots of growth and a low multiple you get the twin engine of 100-baggers. That’s where you really get some great lift, with both factors working in your favor.

Earlier in the book, we went through the extreme example of MTY Foods. There we had a stock start at 3.5 times earnings. Earnings rose 12.4 times in 10 years, but the stock was a 100-bagger because the price-earnings ratio went from 3.5 to 27. You should know that’s rare, but it makes the point rather well.

#4 Economic Moats Are a Necessity

A 100-bagger requires a high return on capital for a long time. A moat, by definition, is what allows a company to get that return. Therefore, it pays to spend some time thinking about what kind of moat a company has.

There’s a whole chapter on this, so I won’t repeat the lessons here. I’ll just add some basic math about the importance of earning a high return on capital and — you can’t forget this second part — the ability to reinvest at high rates for years on end.

Phelps walks through an example in his book that is worth repeating here. Assume a company has \$10 per share in book value and earns 15